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In a Losing Streak? Multi-Asset Investing Can Be Your Winning Strategy

It's been a rough start to 2025 for equity investors. Over the past three months, not a single major equity index has posted positive returns. Sectoral indices are in the red, global uncertainty looms, and investors who banked solely on stocks are left staring at losses.

But some portfolios are not just surviving—they're thriving. The reason? Multi-asset investing. Many mutual funds that take this approach have handily beaten markets and even delivered positive returns in this shaky period.

Multi-asset investing works when markets don't

Relying on a single asset class is like playing cricket with only batsmen—exciting when conditions are right but disastrous when the pitch turns tricky. A multi-asset portfolio, on the other hand, balances its exposure across equities, debt, gold, silver, and REITs/InvITs. This

diversification helps ensure that when one asset class underperforms, others can provide stability and growth.

Recent market trends illustrate this well. The BSE Sensex at around 76,000 is a long way off the all-time highs of nearly 86,000 hit last September. While equities have remained weak, gold and silver have gained, acting as safe havens. Debt instruments have continued to generate stable returns, providing much-needed predictability. Investors who had exposure to multiple asset classes saw smoother portfolio performance, even in a volatile quarter.

The real strength of multi-asset investing

What sets multi-asset mutual funds apart is its ability to adapt. It's not just about holding different assets—it's about adjusting them dynamically.

When stocks become expensive, a multi-asset strategy reduces exposure and shifts towards safer investments like debt and commodities. When markets

correct, it seizes the opportunity to buy equities at lower valuations. Instead of reacting to market panic, this approach is constantly optimising, and so, portfolios stay resilient in changing conditions.

This adaptability makes multi-asset mutual funds particularly relevant today. Investors no longer need to time the market or second-guess economic trends. The portfolio itself adjusts to the environment, just like a well-balanced team making tactical decisions mid-game.

Who benefits most from this approach

Multi-asset mutual funds are well-suited for those looking for stability without sacrificing growth.

Long-term investors who want consistent returns find comfort in this approach, as do SIP investors aiming to ride through market cycles. For retirees or conservative investors, it offers a structured way to reduce volatility while maintaining earning potential.

The last few months have shown why putting all eggs in one basket can be risky. As markets continue to fluctuate, those who embrace a diversified and flexible strategy will find themselves better positioned. This approach is not just ideal to weather downturns, but to capture opportunities when they arise.

Conclusion

The market doesn't always play by the rules, but a well-structured portfolio doesn't need it to. With multi-asset mutual funds, you stay in the game, adjusting, rebalancing, and seizing opportunities in any market condition.

Think of an Indian wedding—there's always a backup plan. If the caterer delays, snacks keep guests happy. If rain threatens the outdoor setup, a tent goes up in minutes. A multi-asset portfolio works the same way, no matter what happens.